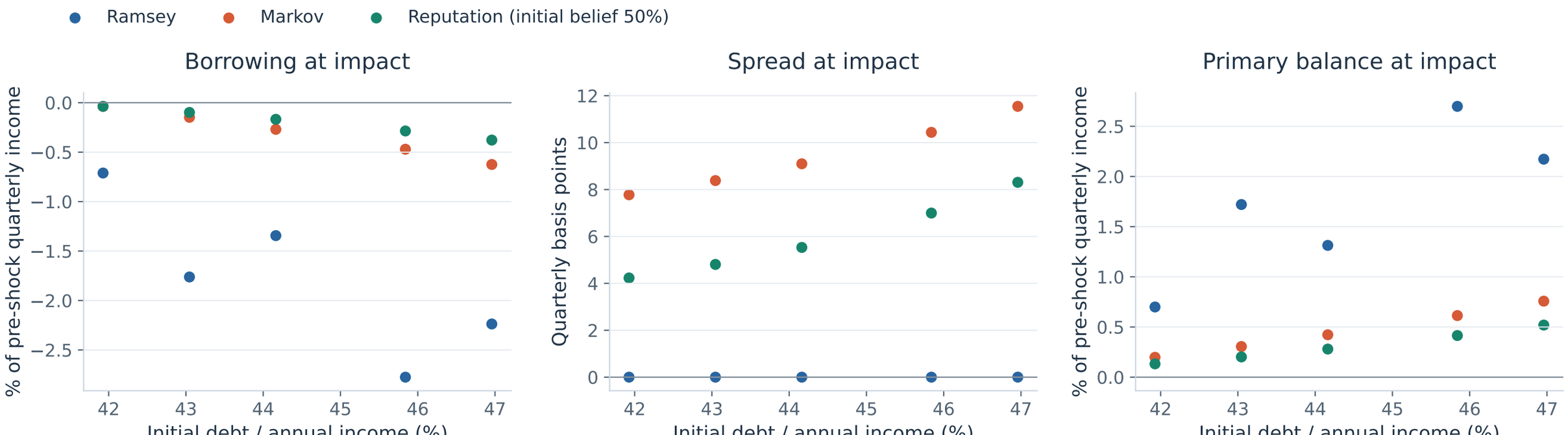
How initial debt changes the immediate response
Lower patience · annual β = 0.85



Same 3.36% income decline; 2,000 paired paths; mean changes from matched baselines.
Only the government's discount factor changes from the original calibration; equilibrium policies and prices are re-solved.
Flow responses use fixed pre-shock quarterly income; spreads are quarterly basis points. Positive primary balance means tightening.
Dots are the five simulated states, without interpolation. Reputation starts at 50%; Ramsey retains inherited promises.